

A profitable field of analytical activity should be found therefore in keeping in close touch with such situations, endeavoring to discover securities that appear to be selling far under their intrinsic value and to determine approximately the best time for making a commitment in them. But in these, as in all analytical situations, we must warn against an endeavor to gage too nicely the proper time to buy. An essential characteristic of security analysis, as we understand it, is that the time factor is a subordinate consideration. Hence our use of the qualifying word "approximately," which is intended to allow a leeway of several months and sometimes even longer, in judging the "right time" to enter upon the operation.

Opportunities in Railroad Trusteeships. In the years following 1932 a large part of the country's railroad mileage went into the hands of trustees. At the close of 1938 a total of 111 railway companies operating 78,016 miles (31% of the total railway mileage in the United States) were in the hands of receivers or trustees. This is the greatest mileage ever in the hands of the courts at any one time. Reorganization in every case has been long delayed, owing on the one hand to the complicated capital structures to be dealt with and on the other to the uncertainty as to future normal earnings. As a result the price of a great many issues fell to extremely low levels—which would undoubtedly have presented excellent opportunities for the shrewd investor, had it not been that the earnings of the railroads as a whole continued for some years to make disappointing showings as compared with general business.

Viewing the situation about the end of 1939, it appeared that many of the first-mortgage liens on important mileage had fallen to lower levels than were warranted by anything but a most pessimistic view of the future of the carriers. Certainly, these issues were cheaper than the bonds and stocks of solvent roads, which sold for the most part at liberal prices in relation to their current exhibits and which in many cases would be in danger of insolvency if future conditions turned out as badly as the low price of trusteeships issues seemed to anticipate. The technique of analyzing issues of the latter group is covered in Chap. 12 and in Appendix Note 66.